ENCAP ENERGY CAPITAL FUND XII, L.P.

FINANCIAL STATEMENTS

MARCH 31, 2024

ENCAP ENERGY CAPITAL FUND XII, L.P.

STATEMENT OF ASSETS, LIABILITIES AND PARTNERS' CAPITAL

	March 31, 2024
ASSETS	
Investments, at fair value (cost $553,338,512)	$ 892,973,510
Cash and cash equivalents	19,041,771
Total assets	$ 912,015,281
LIABILITIES AND PARTNERS' CAPITAL	
Due to affiliate	$ 1,774,711
Due to Limited Partners	15,651,226
Total liabilities	17,425,937
Partners' capital:	
General Partner	63,564,494
Related Limited Partners	35,214,489
Limited Partners	795,810,361
Total partners' capital	894,589,344
Total liabilities and partners' capital	$ 912,015,281

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND XII, L.P.

SCHEDULE OF INVESTMENTS

MARCH 31, 2024

	% owned	Cost	Fair Value	% of net assets
Private equity investment holdings:				
EnCap DE IV Co-Invest, LLC	77.8%	$ 273,703,098	$ 474,649,517	53.1%
EnCap GM III Co-Invest, LLC	57.1%	206,914,414	345,602,993	38.6%
Ridge Runner Resources II, LLC	97.5%	24,375,000	24,375,000	2.7%
Black Swan Oil & Gas II Holdings, LLC	97.0%	21,340,000	21,340,000	2.4%
Paloma Permian Holdings, LLC	95.0%	9,500,000	9,500,000	1.1%
Novo Oil & Gas Holdings II, LLC	95.0%	2,850,000	2,850,000	0.3%
Pegasus Resource Holdings III, LLC	97.7%	14,656,000	14,656,000	1.6%
Total investments		$ 553,338,512	$ 892,973,510	99.8%

ENCAP ENERGY CAPITAL FUND XII, L.P.

STATEMENT OF OPERATIONS

	Three months ended March 31, 2024
Investment income:	
Interest	$ 1,062,900
Total investment income	1,062,900
Expenses:	
Management fees	3,587,999
General and administrative	398,161
Total expenses	3,986,160
Net investment loss	(2,923,260)
Unrealized gain on investments:	
Net change in unrealized appreciation on investments	148,228,510
Net unrealized gain on investments	148,228,510
Net increase in partners' capital resulting from operations	$ 145,305,250

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND XII, L.P.

STATEMENT OF CHANGES IN PARTNERS' CAPITAL

	General Partner	Related Limited Partners	Limited Partners	Total
Partners' capital at December 31, 2023	$ 35,594,135	$ 31,734,591	$ 714,713,530	$ 782,042,256
Capital contributions	—	(2,105,969)	(30,652,193)	(32,758,162)
Management Fees	—	—	(3,587,999)	(3,587,999)
Net increase in partners' capital resulting from operations (excluding management fees)	—	5,585,867	143,307,382	148,893,249
Incentive allocation	27,970,359	—	(27,970,359)	—
Partners' capital at March 31, 2024	$ 63,564,494	$ 35,214,489	$ 795,810,361	$ 894,589,344

ENCAP ENERGY CAPITAL FUND XII, L.P.

STATEMENT OF CASH FLOWS

	Three months ended March 31, 2024
Cash flows from operating activities:	
Net increase in partners' capital resulting from operations	$ 145,305,250
Adjustments to reconcile increase in partners' capital resulting from operations to net cash used for operating activities:	
Purchase of investments	(65,906,000)
Change in unrealized appreciation on investments	(148,228,510)
Change in operating assets and liabilities	
Increase (decrease) in due to affiliate	31,266
Increase (decrease) in due to Limited Partners	15,643,159
Net cash used for operating activities	(53,154,835)
Cash flows from financing activities:	
Contributions from partners	(32,758,162)
Net cash used for financing activities	(32,758,162)
Net change in cash and cash equivalents	(85,912,997)
Cash and cash equivalents, beginning of period	104,954,768
Cash and cash equivalents, end of period	$ 19,041,771

NOTE 1 – ORGANIZATION:

EnCap Energy Capital Fund XII, L.P. (the "Partnership"), a Delaware limited partnership, was formed on February 27, 2023 to provide its partners with an opportunity to participate in privately negotiated equity and equity-related investments in the upstream and midstream independent oil and gas sector of North America. The Partnership operates pursuant to a partnership agreement (the "Partnership Agreement") dated May 17, 2023, which should be referred to for a complete description of the provisions of the Partnership. EnCap Equity Fund XII GP, L.P. ("General Partner"), a Delaware limited partnership, is the sole general partner for the Partnership. The Partnership held its initial closing on May 17, 2023 and has not held its final close. There are 125 investors owning the limited partnership interests ("Limited Partners") and 8 investors owning the related limited partnership interests ("Related Limited Partners" and collectively with the General Partner and Limited Partners, the "Partners"). The Related Limited Partners' and Limited Partners' total capital commitments to the Partnership are $80.7 million and $1,975.5 million, respectively. The Partners' total outstanding commitments as of March 31, 2024 were approximately $1,492.4 million. The ratio of total contributed capital to total committed capital is 27.4%. The Partnership has committed $1,760.7 million to portfolio companies, of which $1,207.3 million remains unfunded at March 31, 2024.

The Partnership shall be dissolved upon the expiration of a 10-year period commencing the date of final closing, unless the Limited Partner Advisory Committee and General Partner agree to extend the Partnership for up to two additional one-year periods in order to permit an orderly liquidation and winding up of the Partnership.

NOTE 2 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES:

Basis of Presentation

The accompanying financial statements have been prepared on the accrual basis in accordance with accounting principles generally accepted in the United States of America ("GAAP"). The Partnership is considered an investment company under GAAP and follows the accounting and reporting guidance applicable to investment companies in the Financial Accounting Standards Board Accounting Codification ("ASC") 946, Financial Services – Investment Companies.

Use of Estimates

The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America requires the General Partner to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the dates of the financial statements and the reported amounts of revenue and expenses during the reporting period. Actual results, including the ultimate amount realized upon the sale of illiquid and/or fair valued investments, can, and often do, differ from those estimates.

Investment valuation and transactions

The Financial Standards Accounting Board ("FASB") guidance "Fair Value Measures," establishes a fair value hierarchy that prioritizes the inputs to valuation techniques used to measure fair value. The hierarchy gives the highest priority to unadjusted quoted prices in active markets for identical assets or liabilities (level 1 measurement) and the lowest priority to unobservable inputs (level 3 measurements). The three levels of the fair value hierarchy under the guidance are as follows:

Level 1 Inputs that reflect unadjusted quoted prices in active markets for identical assets or liabilities that the Partnership has the ability to access at the measurement date;

Level 2 Inputs other than quoted prices that are observable for the asset or liability either directly or indirectly, including inputs in markets that are not considered to be active;

Level 3 Prices, inputs or modeling techniques which are both significant to the fair value measurement and unobservable (supported by little or no marked activity).

Inputs are used in applying the various valuation techniques and broadly refer to the assumptions that market participants use to make valuation decisions, including assumptions about risk. Inputs may include price information, volatility statistics, specific and broad credit data, liquidity statistics, and other factors. An investment's level within the fair value hierarchy is based on the lowest level of any input that is significant to the fair value measurement. However, the determination of what constitutes "observable" requires significant judgment by the General Partner. The General Partner considers observable data to be that market data which is readily available, regularly distributed or updated, reliable and verifiable, not proprietary, provided by multiple, independent sources that are actively involved in the relevant market. The categorization of an investment within the hierarchy is based upon the pricing transparency of the investment and does not necessarily correspond to the General Partner's perceived risk of that investment.

Partnership investments are valued quarterly by the General Partner. Investment cost and the net realized gains or losses thereon are determined, for financial accounting purposes, on the specific identification method. The Partnership's investments that have been classified within level 3 utilize significant unobservable inputs and trade infrequently or not at all. Level 3 investments may include common and preferred equity securities, corporate debt, warrants and other privately issued securities. When observable prices are not available for these securities, the General Partner uses one or more valuation techniques (e.g., the market approach or the income approach) for which sufficient and reliable data is available. Within level 3, the use of the market approach generally consists of using comparable market transactions, while the use of the income approach generally consists of the net present value of estimated future cash flows, adjusted as appropriate for liquidity, credit, market and/or other risk factors.

The inputs used by the General Partner in estimating the value of level 3 investments included third party engineering reserve reports, oil and gas NYMEX future prices as of the date the valuation is performed, estimated capital expenditures, estimated operating costs, and risk-adjusted discount factors based on whether the reserves are classified as proved developed producing, proved developed nonproducing or proved undeveloped. Other relevant information considered by the General Partner may include the following factors: original transaction price, recent public or private transactions in the same or similar assets, restrictions on transfer, including the Partnership's right, if any, to require registration by the issuer of the offering and sale of securities held by the Partnership under the securities laws; significant recent events affecting the issuer, including significant changes in financial condition and pending mergers and acquisitions; and all other reasonable and customary factors affecting value. The fair value measurement of level 3 investments does not include transaction costs that may have been capitalized as part of the security's cost basis. Assumptions used by the General Partner due to the lack of observable inputs may significantly impact the resulting fair value and therefore the Partnership's results of operations.

Investments may be classified as level 2 when market information becomes available, yet the investment is not traded in an active market and/or the investment is subject to transfer restrictions, or the valuation is adjusted to reflect illiquidity and/or non-transferability.

Investments in restricted securities of public companies cannot be offered for sale to the public until the Partnership complies with certain statutory requirements. The valuation of the securities by management takes into consideration the type and duration of the restriction, but in no event does the valuation exceed the listed price on a national securities exchange or the NASDAQ national market. Investments in restricted securities of public companies are generally included in level 2 of the fair value hierarchy.

Investments whose values are based on quoted market prices in active markets, and are therefore classified within level 1, generally include active listed equities. The General Partner does not adjust the quoted price for such instruments, even in situations where the Partnership holds a large position and a sale could reasonably impact the quoted price.

As of March 31, 2024, the investments in EnCap DE IV Co-Invest, LLC ("DE IV") and EnCap GM III Co-Invest, LLC ("GM III") are excluded from the fair value hierarchy leveling as the fair value of these investments was measured at net asset value ("NAV") using the practical expedient. The total value of these investments is $820,252,510 as of March 31, 2024. The Partnership expects to realize the value remaining in these investments at the end of the terms of DE IV and GM III through distributions resulting from the liquidation of the remaining assets.

The Partnership's share of any underlying private equity investment holdings' investment in the securities of an issuer held by the private equity investment holdings which constitute greater than 5% of the Partnership's total net assets as of March 31, 2024 are:

Description	Private equity investment holdings fair value	Partnership's proportionate fair value
EnCap GM III Co-Invest, LLC		
Grayson Mill Holdings III, LLC	$ 604,709,000	$ 345,288,839
EnCap DE IV Co-Invest, LLC		
Double Eagle Energy Holdings IV, LLC	$ 610,318,000	$ 474,827,404

All other investments carried on the Statement of Assets, Liabilities and Partner's Capital are classified as level 3. Such investments total $72,721,000 as of March 31, 2024.

The following table summarizes the valuation methodology and significant unobservable inputs used for investments as of December 31, 2023. The disclosure below excludes investments for which fair value is based on unobservable but non-quantitative inputs. Such items include investments for which the determination of fair value is based on prices from prior transactions or third party pricing information without adjustment.

Assets (at fair value)	Fair Value at December 31, 2023	Valuation Techniques(1)	Unobservable Inputs(2)	Range of Inputs (Weighted Average)
Investments in Equity of Privately Held Companies	$ 6,815,000	Precedent Transactions	Recent transaction price	N/A
	$ 672,024,000 (3)	Income Approach / Discounted Cash Flow Analysis	Discount rate	10%
			NYMEX forward strip oil pricing ($/BO)	$62.02-$71.52
			NYMEX forward strip gas pricing ($/MMBTU)	$2.68 - $3.85
			Risk adjusted PDP reserves	0%
			Risk adjusted PDNP reserves	20%
			Risk adjusted PUD reserves	40% - 80% (70.3%)
		Value of Undeveloped Acreage (Upstream)	Price per acre	$ 30,000

(1) In determining certain of these inputs, the General Partner evaluates a variety of factors including economic conditions, industry and comparable companies and company specific developments including growth avenues, exit strategies and realization opportunities. The General Partner also evaluates the following unobservable inputs in considering the fair value of its investments: third party engineering reserve reports, oil and gas NYMEX future prices, risk-adjusted discount factors based on reserve category, capital expenditures and operating costs of the company, financial information obtained from each company including unaudited financial statements for the most recent period available, estimated financial performance and budget to actual variance analysis; current and projected financial condition of the company; current and projected ability of the company to service its debt obligations; type and amount of collateral, if any, underlying the investment; current financial ratios applicable to each investment; pending debt or capital restructuring of the company; projected operating results of the company; current information regarding any offers to purchase the investment; current ability of the company to raise any additional financing as needed. The General Partner has determined that market participants would take these inputs into account when valuing the investment. Once the General Partner has estimated the underlying

entities' business enterprise value, a waterfall analysis of the entities' capital structure should be considered. Reserve categories are defined as follows: PDP - proved developed producing, PDNP - proved developed nonproducing, PUD - proved undeveloped, Prob - unproved probable, and Poss - unproved possible.

(2) Significant increases or decreases in any of the above unobservable inputs in isolation may result in a significant lower or higher fair value measurement, respectively.

(3) These valuation methodologies and significant unobservable inputs include investments in Grayson Mill Holdings III, LLC and Double Eagle Energy Holdings IV, LLC which are held by the Partnership indirectly through its investments in GM III and DE IV.

During the three months ended March 31, 2024, purchases of Level 3 investments totaled $65,906,000. The classification of an investment within level 3 is based upon the significance of the unobservable inputs to the overall fair value measurement.

Transfers into and out of Level 3 are recorded at the value of the assets at the beginning of the year. During the three months ended March 31, 2024, the Partnership did not have any transfers between any levels of the fair value hierarchy. Because of the inherent uncertainty of valuation of these level 3 investments, those estimated values may differ significantly from values that would have been used had a ready market for the investments existed. Such differences could be material.

Concentration of Risk

As the Partnership's investments are primarily in the domestic independent oil and gas sector, revenue and profitability are dependent upon numerous factors beyond the Partnership's control, such as economic and political developments in the industry and competition from other sources of energy. The energy markets have historically been very volatile and there can be no assurance that oil and gas prices will not be subject to wide fluctuations in the future. A substantial or extended decline in oil and gas prices could have a material adverse effect on the Partnership's financial position, results of operations and cash flows.

The Partnership's investment program requires a moderate amount of diversification among its portfolio companies. Under the Partnership Agreement, the Partnership may not invest more than 25% of total commitments in any one portfolio company without consent of at least 66 2/3% of the Limited Partners. This policy may subject the Partnership to greater volatility than would usually be present in a more diversified portfolio, inasmuch as poor performance with respect to any one investment by the Partnership may expose the Partnership to a greater degree of loss than would be the case with a more broadly diversified investment program.

Most of the total commitment will be invested in privately negotiated equity and equity-related investments. Generally, there is no readily available market for such investments and, as such, the Partnership might take longer to liquidate these positions than would be the case for investments in publicly traded securities. Although these securities may be resold in privately negotiated transactions, the prices on these sales could be less than those originally paid by the Partnership. Also, issuers whose securities are not publicly traded may not be subject to public disclosure and other investor protection requirements applicable to publicly traded securities. In addition, the issuers of such privately negotiated securities are companies which typically have limited capitalization and limited operating histories, companies operating at a loss or with significant variations in operating results from period to period, companies which may need substantial additional capital to support operations and growth, and companies which may be highly leveraged. By their nature, such investments possess a high degree of business and financial risk that may result in substantial losses.

The General Partner may elect to hold multiple closings in order to admit additional Limited Partners to the Partnership following the initial closing or to accept increased commitments from existing Limited Partners, in each case on substantially the same terms as the initial Limited Partners' commitments were accepted, for eighteen months following the initial closing. The value of the Partnership's investments during this eighteen month period may fluctuate, including by significantly increasing in value. Regardless of any increase in value of the Partnership's investments, Limited Partners admitted to the Partnership in subsequent closings will be required to contribute to the Partnership an amount equal to the amount such Limited Partner would have contributed to make investments and pay expenses (including the management fee) if such Limited Partner's commitment had been made on the initial closing, plus, in certain cases, an interest component. As a result, Limited Partners who acquired interests prior to the admission of later admitted Limited Partners may be diluted in respect of any appreciation of the Partnership's investments during the period prior to the later admitted Limited Partners' admission to the extent that the appreciation during such period is greater than such interest component. Although any such new Limited Partner will be required to contribute its pro rata share of previously made capital contributions, there can be no assurance that this contribution will reflect the fair value of the Partnership's existing investments at the time of such contributions.

Refer to the EnCap Energy Capital Fund XII private placement memorandum for risks and consideration related to the Partnership.

Cash and Cash Equivalents

Cash and cash equivalents consist of demand deposits and cash held in Fidelity Investments Money Market Funds Treasury Portfolio – Class I ("Fidelity money market account"), a money market fund which contains investments with weighted average maturities of three months or less. As of March 31, 2024, the Partnership has cash in its Fidelity money market account of $19,041,771. The Partnership places its cash and cash equivalents with financial institutions, and, at times, cash held in bank accounts may exceed the Federal Deposit Insurance Corporation insured limit. Cash and cash equivalents are classified as Level 1 assets and are carried at cost or amortized cost which approximates fair value.

Income and Expenses

Income and expenses from the Partnership's general operations are recognized on the accrual basis.

Investment Transactions and Related Investment Income

Investment transactions are accounted for on a trade-date basis. Dividend income is recorded on the record date with the exception of dividend income from marketable securities which is recorded on the ex-dividend date.

Gains or Losses on Investments

Realized gains and losses on investments represent the difference between the original cost of the investments and the related market price at the sale or distribution date, net of expenses, as well as write-offs. The difference between the original cost and the estimated fair value of investments, including any receivable for holdbacks, owned at the end of the period represents unrealized gains or losses.

Income Taxes

No provision for federal income taxes is included in the accompanying financial statements. As the Partnership is not subject to income taxation, the tax effects of its activities accrue to the individual partners.

The Partnership's tax returns are subject to examination by federal and state taxing authorities. As of December 31, 2023, the earliest tax year that remains subject to examination under the standard limitation period is 2023. Pursuant to the Bipartisan Budget Act of 2015, for tax years beginning after December 31, 2017, if the IRS makes audit adjustments to the Partnership's income tax returns, it (and some states) may assess and collect any taxes (including any applicable penalties and interest) resulting from such audit adjustments directly from the Partnership. To the extent possible under the new rules, the Partnership's general partner may elect to either pay the taxes (including any applicable penalties and interest) directly to the IRS or, if eligible, issue a revised information statement to each current limited partner and former limited partner with respect to an audited and adjusted return. Although the Partnership's general partner may elect to have the limited partners take such audit adjustment into account and pay any resulting taxes (including applicable penalties or interest) in accordance with their interests in the Partnership during the tax year under audit, there can be no assurance that such election will be practical, permissible or effective in all circumstances. As a result, current limited partners may bear some or all of the tax liability resulting from such audit adjustment, even if such limited partners did not own an interest in the Partnership during the tax year under audit. If, as a result of any such audit adjustment, the Partnership is required to make payments of taxes, penalties and interest, the cash available for distribution to our limited partners might be substantially reduced. These rules are not applicable for tax years beginning on or prior to December 31, 2017.

In accordance with a provision of the FASB guidance "Income Taxes", the General Partner is required to determine whether a tax position of the Partnership is more likely than not to be sustained upon examination by the applicable taxing authority, including resolution of any related appeals or litigation processes, based on the technical merits of the position. The tax benefit to be recognized is measured as the largest amount of benefit that is greater than fifty percent likely of being realized upon ultimate settlement which could result in the Partnership recording a tax liability that would reduce partners' capital. Based on the General Partner's analysis, there are no material disclosures or adjustments impacting the Partnership's financial statements as of March 31, 2024. The Partnership does not expect that its assessment regarding unrecognized tax benefits will materially change over the next twelve months. However, the General Partner's conclusions may be subject to review and adjustment at a later date based on on-going analyses of tax laws, regulations and interpretations thereof and other factors.

NOTE 3 – INVESTMENT TRANSACTIONS:

The Partnership made equity investments in certain private entities that are primarily engaged in the acquisition, development and operation of oil and gas properties. Generally, the related limited liability company and partnership agreements provide for a specified percentage sharing of revenues and expenses until the Partnership has achieved a specified internal rate of return and return on investment. After this level of return has been achieved, the percentage-sharing ratio is adjusted to provide for an increased allocation to the management group of the investee and a decreased allocation to the Partnership.

Total contributions to and proceeds from investments are as follows:

	Three months ended March 31, 2024	
	Contributions	Proceeds
Private equity investment holdings:		
Ridge Runner Resources II, LLC	$ 19,500,000	$ —
Black Swan Oil & Gas II Holdings, LLC	19,400,000	—
Paloma Permian Holdings, LLC	9,500,000	—
Novo Oil & Gas Holdings II, LLC	2,850,000	—
Pegasus Resource Holdings III, LLC	14,656,000	—
	$ 65,906,000	$ —

NOTE 4 – ALLOCATIONS TO PARTNERS:

Net proceeds of the Fund's investments will be apportioned among the Fund's partners in the proportion a partner's commitment bears to the aggregate commitments to the Fund. The amount apportioned to the Related Limited Partners will be distributed to the Related Limited Partners and the amount apportioned to each Limited Partner will be distributed as a return of all investment costs, fees, and expenses until such time as the Limited Partners receive an 8% per annum compounded annually internal rate of return on their investment ("Preferred Return Payout"). After Preferred Return Payout is achieved, the General Partner is allocated 80% of the Limited Partner distributions and the Limited Partners are allocated the remaining 20% in proportion to their respective ownership percentages until such time the General Partner has been distributed 20% of total Limited Partner net distributions from the Partnership ("Catch-Up Payout"). After Catch-Up Payout is achieved, the Limited Partners are distributed net cash distributions equal to 80% of their original respective ownership interests and the remaining 20% distributed to the General Partner. Upon liquidation of the Partnership, the General Partner will be required to restore funds to the Partnership to the extent that the General Partner has received cumulative carried interest distributions in excess of amounts that would have been distributed to it pursuant to the formula set forth above applied on an aggregate basis covering all transactions of the Partnership, net of income taxes thereon. Funds returned to the Partnership for this purpose will be distributed to the Limited Partners in proportion to their aggregate funded commitments.

Net increase in partners' capital resulting from operations was allocated between the General Partner, Related Limited Partners and Limited Partners in accordance with the allocation methodology described above. During the three months ended March 31, 2024, net increase in partners' capital resulting from operations allocated to the Related Limited Partners and Limited Partners was $5,585,867 and $111,749,024, respectively, and which includes unrealized incentive allocation to the General Partner of $27,970,359.

NOTE 5 – TRANSACTIONS WITH RELATED PARTIES:

The General Partner initially receives an annual management fee equal to 1.125%-2.00%, of Limited Partner commitments or of the Partnership's cash investment in remaining portfolio investments reduced by amounts distributed to the extent such amounts constitute a return of capital and any permanent write-down or writeoff, as determined by the General Partner, payable in advance at the beginning of each quarter. The initial management fee period expires upon the earlier of (a) five years from the final closing date, (b) the date the fund is fully invested, (c) the date a subsequent fund organized by the General Partner makes its first investment or (d) the occurrence of certain other events as specified in the Partnership Agreement. After such time, the annual management fee is equal to 1.125%-2.00% of the Partnership's cash investment in remaining portfolio investments reduced by amounts distributed to the extent such amounts constitute a return of capital and any permanent write-down or writeoff, as determined by the General Partner. The management fee paid by the Partnership is reduced in the subsequent quarter by 100% of any transaction fees received by the General Partner. The management fee constitutes full reimbursement by the Partnership to the General Partner for the General Partner's administrative expenses, including, but not limited to, salaries and wages of officers and employees of the General Partner, office rent, utilities and other general, administrative and overhead expenses. During the three months ended March 31, 2024, the Partnership paid management fees of $3,587,999 to the General Partner.

During the three months ended March 31, 2024, the Partnership reimbursed EnCap Investments L.P. ("EnCap"), an affiliate of the Partnership, $366,894 for general and administrative expenses. At March 31, 2024, the Partnership owed $0 to EnCap for general and administrative expenses and $1,403,280 for organization costs.

Managing Directors of the General Partner may serve on the Board of Directors of the Partnership's underlying portfolio companies.

Pursuant to the Partnership Agreement, the Partnership has agreed to indemnify the General Partner and its affiliates against certain losses and other liabilities to which they may become subject in connection with matters arising out of or in connection with the Partnership's business and affairs. The Partnership believes that it is unlikely that it will have to make material payments under these arrangements, and no liabilities related to these indemnifications have been recognized on the accompanying Statement of Assets, Liabilities and Partners' Capital.

NOTE 6 – FINANCIAL HIGHLIGHTS:

The following financial highlights for the period from inception (May 17, 2023) to December 31, 2023, have been calculated in accordance with guidance provided in Accounting Standards Codification 946, "Financial Services – Investment Companies":

Net investment loss ratio	-2.3%
Expense ratios:	
Operating expenses	3.3%
Unearned incentive allocation	8.2%
Operating expenses and unearned incentive allocation ratio	11.5%
Internal rate of return net of incentive allocation (Inception to December 31, 2023)	52.6%

The net investment loss and expense ratios are calculated for the Limited Partners taken as a whole. For the period from inception (May 17, 2023) to December 31, 2023, the net investment loss and operating expense ratios include organization costs of $3,500,000, which is a nonrecurring charge. All recurring expenses have been annualized. The net investment loss and operating expenses ratios do not reflect the effects of the incentive allocation to the General Partner. The internal rate of return from inception is calculated based on the actual dates of the cash inflows and outflows and the residual value of the Limited Partners' capital account, net of all incentive allocations as of each measurement date. Although this disclosure is required by accounting principles generally accepted in the United States, the internal rate of return, at this early point in the Partnership's existence, may not be an appropriate measure of performance due to the short duration of the investment activities and the long-term nature of the Limited Partners' investment in the Partnership. In addition, future realization of investments may be at different values than currently carried fair values, resulting in rates of return that may differ materially from that indicated above.

NOTE 7 – COMMITMENTS AND CONTINGENCIES:

The Partnership's investments are subject to legal proceedings, claims, and litigation arising in the ordinary course of business. Each investee defends itself vigorously against any such claims. Although the outcome of these matters is currently not determinable, the General Partner does not expect that the ultimate costs to resolve these matters will have a material adverse effect on its financial position, results of operations, or cash flows.